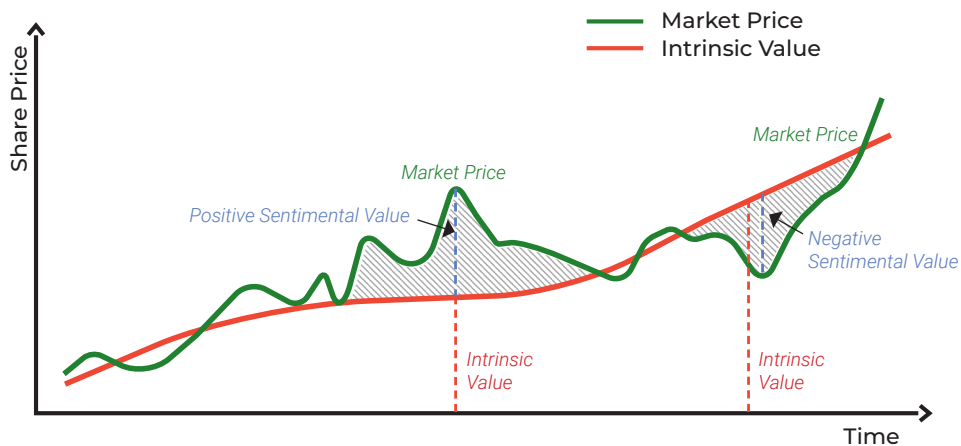




True Value

- The Red line represents the estimated true value and is an estimate.
- It fluctuates in reference to the performance of the company
- Therefore, if the company is doing well, its true value will also increase simultaneously, and vice versa.
- The increase in intrinsic value is due to a parallel increase in the quality or quantity of earnings.
- The true value can be anything depending on how the company's quality and quantity of earnings perceived by the analysts. If both the size and quality of earnings are stagnant, the True value will also be a flat line.

Market Price

- The green line represents the market price. This is the actual graph we see in the market.
- Keeps fluctuating up and down because of presence of sentimental value based on the market sentiments.
 - A bullish market means that a stock price or overall market will go higher due to positive sentiments.
 - On the other hand, with a downturn in the stock market, prices continue to decline and fluctuate due to negative sentiment.

“When we compare the intrinsic value with market prices, we observe that the former is significantly more stable than the latter. However, in the long run, the market price might always follow the intrinsic value.”